

Micron Technology, Inc.

MU NASDAQ

Buy	\$1022.56 ▲ 2.23%	12M Price Target \$1200.00	52-Week Range \$138.34 – \$1255.00	Market Cap \$1.15T
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MU: Memory Supercycle + CHIPS Act Tailwind = Trillion-Dollar Story

WHAT HAPPENED

- MU popped 2.2% to \$1,022 after Goldman basically rang the "worst is over" bell for memory chips — meaning they think DRAM/NAND prices have bottomed and are heading back up. That's a big deal because Micron's earnings swing wildly with memory prices.
- Susquehanna dropped a note saying memory is now the "king" of chips at 50%+ of semi revenue — that's a structural story, not a trade. AI training needs INSANE amounts of high-bandwidth memory (HBM), and Micron is one of only three players in the world who can make it.

WHY IT MATTERS

Here's what's really going on: Micron just crossed \$1 trillion in market cap and is trading near all-time highs because Wall Street is finally admitting memory isn't a commodity anymore — it's a bottleneck for AI. Every Nvidia GPU needs HBM stacked next to it, and Micron, Samsung, and SK Hynix are the entire supply. But watch out — those massive put buys at \$1,020-\$1,035 for September expiration (\$55M+ notional) tell me some big player is either hedging a huge long position or betting on a short-term pullback into earnings. That's not a "sell" signal, but it's a "don't chase it here" signal. The insider "OTHER" transactions from August at \$202 look like an option exercise or grant, not open-market selling, so I wouldn't read those as bearish.

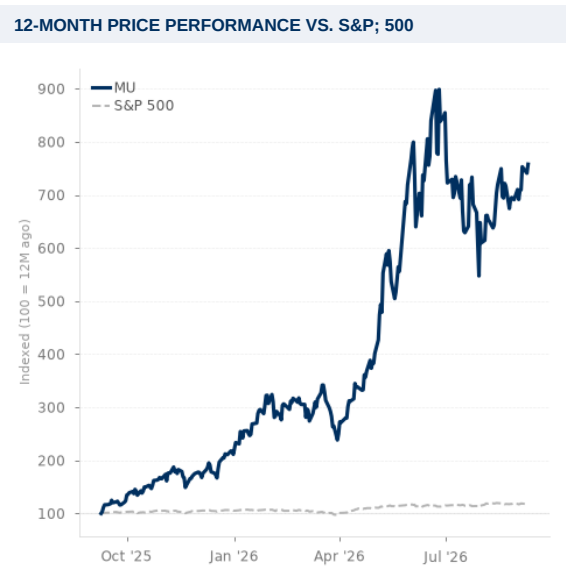
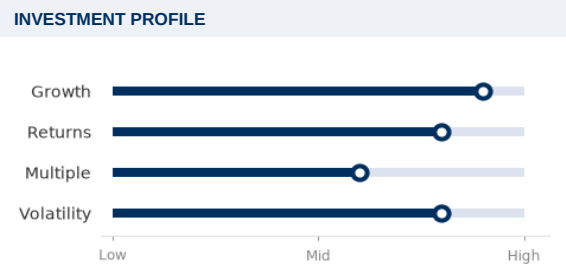
POLICY & POLITICAL WATCH

Micron is the single biggest US winner from the CHIPS and Science Act — they've been awarded roughly \$6.1B in grants to build fabs in Idaho and New York, and the Trump administration has been surprisingly pro-domestic-semi despite tariff noise elsewhere. The real policy watch right now: the expanded export controls on advanced memory to China (HBM specifically) — this HURTS China's Samsung/SK Hynix sales but effectively hands Micron more of the Western AI market. Also keep an eye on any tariff escalation with China — Micron has meaningful China revenue exposure (~10-12%), so a retaliation cycle could clip earnings even as the strategic picture improves.

IS IT EXPENSIVE?

At ~\$1,022 and roughly 24x forward earnings, MU isn't cheap anymore — you're paying \$24 for every \$1 the company is expected to earn next year, versus its historical average around 12-15x. BUT — and this matters — memory stocks always look expensive at the bottom of the cycle and cheap at the top, so that P/E is misleading. If Goldman's right that we're early in an upcycle, next year's earnings estimates are too low and the real multiple is closer to 15x — which would be reasonable for a company growing 25%+ with structural AI tailwinds.

Key Data	
Price (USD)	\$1022.56
12M Price Target	\$1200.00
Upside / (Downside)	+17.4%
Market Cap	\$1.15T
FY2026E Revenue	\$48,500M
FY2027E Revenue	\$62,000M
FY2026E EPS	\$42.50
FY2027E EPS	\$58.00
Fwd P/E	24.1x



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$1150.00	\$1075.00	\$950.00
6 Months	\$1350.00	\$1200.00	\$900.00
1 Year	\$1500.00	\$1200.00	\$800.00
2 Years	\$1800.00	\$1400.00	\$700.00
5 Years	\$2500.00	\$1800.00	\$600.00
10 Years	\$4000.00	\$2500.00	\$500.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Tech (+2.4% this week) led by memory and AI infrastructure — Goldman's "worst is over" call is triggering a rotation back into semis. Energy is quietly firming too.

COOLING OFF: Healthcare (-3% this week) getting hit on drug pricing worries; Comm Services losing steam as ad spend narrative cools.

ROTATION WATCH: Money is rotating OUT of defensives (healthcare, staples) and INTO AI-adjacent semis. This is a classic "risk-on, growth back in favor" move — direct tailwind for MU.

RELATED PLAY: If memory is the new king, the companies making the equipment to produce it — Applied Materials (AMAT), Lam Research (LRCX), and ASML — all benefit as fabs get built. Also SanDisk (NAND-focused) is a smaller, higher-beta way to play the same theme.

WHO'S WINNING IN THIS SPACE?

- SK Hynix (+5% today): The Nvidia HBM3E leader — when they run, MU follows because the market treats them as HBM proxies.
 - SanDisk (+3%): Pure-play NAND — rallying on the same "memory bottom" thesis.
- MU CONTEXT:** MU is participating but LAGGING SK Hynix today (2% vs 5%). That's typical — Hynix has more HBM revenue mix, so it's more levered to the AI memory story. But it also means if the rally continues, MU has catch-up room.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — I'm bullish on the multi-year story but respectful of the fact that MU just doubled and put flow suggests short-term chop ahead.

POSITION SIZE: 4-6% — big enough to matter, small enough that a 30% drawdown doesn't ruin your year. Memory is volatile; don't oversize.

ENTRY POINTS: I wouldn't chase \$1,022. Wait for a pullback to \$950-980 (roughly the recent breakout level) or add on any macro fear day.

TIME HORIZON: 12-24 months — the catalyst chain is fiscal Q4 earnings (late September), then 2027 HBM4 ramp with Nvidia's next-gen GPUs.

WHEN TO BAIL: If HBM average selling prices drop >20% quarter-over-quarter, or Micron loses a major hyperscaler qualification to Samsung. Also bail if hyperscaler capex guidance turns negative.

HEDGING: Buy a small put spread (say the \$950/\$850 for a few months out) — costs a little, protects you from a memory scare. Or pair-trade: long MU, short a weaker semi that isn't AI-levered.